TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

Promotion

3 Marketing
3.3 Marketing mix: promotion



A revision lesson. Pupils run a car dealership in firms of four and revise promotion on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Profit from the ad

Round 1

An advert for these cars.

Profit from the advert? Minus allowed.

The advert costs	**£1,500**
Extra sales from it	**5 cars**
Margin per car	**£1,400**

ANSWER

£5,500

5 × £1,400 − £1,500 = £5,500

Why: 5 extra cars bring £7,000 for a £1,500 advert.

2 Was the ad worth it

Round 1

You ran a local radio advert last month.

Which two show it was worth the cost?

- **A** Sales it brought from new buyers
- **B** More people heard it
- **C** It cost less than last year's
- **D** Extra profit above its cost
- **E** The advert won an award

ANSWER

✓ Sales it brought from new buyers
✓ Extra profit above its cost

Why: An advert pays when its extra sales earn more than it cost.

3 Rank cost per sale

Round 2

Three adverts: what each cost, and the sales it brought.

Order by cost per sale, cheapest first?

- **A** Paper: £600, 4 sales
- **B** Radio: £1,500, 6 sales
- **C** Social: £800, 8 sales

ANSWER

1. Social: £800, 8 sales
2. Paper: £600, 4 sales
3. Radio: £1,500, 6 sales

Why: Cost ÷ sales: £100, £150, £250. The cheapest advert is not the best value.

Topic tasks

4 More profitable ad

Round 2

Pick one of two adverts.

Profit from the more profitable advert?

Radio advert, 4 extra cars	**£3,000**
Social advert, 5 extra cars	**£1,500**
Margin per car	**£1,900**

ANSWER

£8,000

Radio £4,600, social £8,000: £8,000

Why: The cheaper advert is not always the better one.

5 TV or trade paper

Round 3

A TV advert reaches 50,000 people for £2,000. A trade paper reaches 5,000 local car buyers for £800.

Which advert should you pick, and why?

A The trade paper

B The TV advert

ANSWER

✔ The trade paper

Why: The paper reaches the people who buy from you, at less cost.

6 Which advert pays

Round 3

Pick one of two adverts.

Profit from the more profitable advert?

Radio advert, 24 enquiries	**£1,250**
Social advert, 20 enquiries	**£2,250**
Enquiries that buy	**1 in 4**
Margin per car	**£1,800**

ANSWER

£9,550

Radio 6 × £1,800 − £1,250 = £9,550; social £6,750

Why: Enquiries are not sales: count the cars that sell.

Final questions

Each pupil answers 6 final questions on promotion. They come from these 11 questions.

Then each pupil writes one short answer: “Explain why some enquiries never become sales.”

1 A small dealer wants to reach nearby customers who are actively searching online for a used car. Which promotional choice is most precisely targeted?
✔ **A local search advert linked to live vehicle stock**

2 Which is a sales promotion rather than long-term advertising?
✔ **A two-week free MOT offer**

3 Does an online advert send people to the booking page? Which measure is most direct?
✔ **The number of advert clicks to the page**

4 The Sales lead promotes a specialist wheelchair-accessible vehicle to a narrow professional and user audience. Which channel is most suitable?
✔ **Targeted mobility trade and community channels used by that audience**

5 Promotion tells customers what a business sells and persuades them to buy. A dealer wants local trades who do not know it to learn it services vans. Which suits best?
✔ **An advert in a local trade magazine van operators read**

6 A small used-car dealer wants to reach local buyers cheaply. Which promotion method fits best?
✔ **Posts and adverts on local social media**

7 A dealer offers £200 off any car bought this weekend. Which type of promotion is this?
✔ **A sales promotion**

8 Why might a dealer advertise on a local radio station rather than on national television?
✔ **It reaches the local target market at lower cost**

9 Which of these is a sales promotion for a car dealer?
✔ **A free first service with every car sold**

10 A small used-car dealer wants to reach buyers in its own town on a small budget. Which advertising method suits it best?
✔ **Local social media adverts**

11 What is the main aim of a dealer’s promotion?